

HRM-I Exam Handbook

Open-book companion built from the lecture slides, handwritten notes, technical notes and the discussed cases you uploaded. Kept in a compact note style, with smaller headings and exam-useful content.

Use this with the cases in hand: read the case once, then frame the answer as Business context -> HR problem -> framework -> recommendation -> business impact. For long answers, keep the framework visible and keep returning to the case facts.

What this handbook is for

- to help you locate the right idea quickly while writing the exam
- to give you ready language for long answers and case analysis
- to collect the repeated classroom themes in one place
- to reduce searching time during the open-book paper

What the papers show

- The 2023 paper used the Maersk case and asked for talent management complexity plus a roadmap.
- The 2025 paper used PremiumSoft and asked for strategic HR challenges and a strategic HR roadmap.
- The pattern is case-based, application-heavy, and roadmap-focused rather than definition-heavy.

The exam answer pattern

1. Identify the business situation. 2. Name the HR challenge. 3. Pick the framework. 4. Give specific recommendations. 5. State the business impact.

1. How to answer any HRM case

A good answer usually begins with the business problem, not with the theory. Then link the issue to HR decisions, show the framework, and end with practical actions. A roadmap should have short-term fixes, medium-term capability building, and long-term system design.

- **Business context:** growth, expansion, cost pressure, talent shortage, turnover, cultural change, safety, or conflict.
- **HR challenge:** recruitment, selection, training, performance management, compensation, retention, leadership, culture, or industrial relations.
- **Framework:** use AMO, HR as a system, SHRM, CCD, ASA, Ulrich, or Dunlop based on the case.
- **Recommendations:** make them actionable, such as structured interviews, career paths, incentive redesign, or communication channels.
- **Business impact:** explain how the action improves performance, coordination, retention, safety, or strategy execution.

A safe writing template

The company is facing [business issue]. This creates [HR issue]. From the [framework] perspective, the key lever is [X]. The organization should therefore [recommendation]. This will improve [business outcome].

Useful sentence starters

- Viewed as an integrated system, the HR practices are interdependent and should be aligned with business strategy.
- Using the AMO lens, performance can be improved by building ability, motivation, and opportunity together.
- The real issue is not only policy design, but implementation and behavioural alignment.
- The company should balance short-term results with the kind of culture it wants to reinforce over time.
- A strong roadmap should combine immediate fixes with medium-term capability building and long-term system design.

2. Core frameworks

HR as a system

HRM is not a set of isolated practices. Recruitment, training, performance management, compensation, career development and industrial relations are linked. If one changes, the others are affected too. The course notes repeatedly stress that formal and informal systems must be aligned and that HR must support the business model.

- integrated subsystems
- formal and informal alignment
- business model support
- one change affects another

Use when: the case is about overall HR design, culture change, talent management, or system alignment.

AMO framework

Performance = Ability x Motivation x Opportunity. Ability is built through recruitment, selection, job design, and training. Motivation comes from pay, recognition, appraisal, promotion and job security. Opportunity comes from empowerment, teamwork, information sharing, feedback and participation.

- Ability: recruitment, selection, training
- Motivation: compensation, rewards, appraisal
- Opportunity: job design, empowerment, feedback

Use when: the question is about employee performance, retention, or why a practice does not translate into results.

SHRM framework

The notes present SHRM as Strategy -> Structure and systems -> Competency -> Behaviour. The key idea is that HR should support business strategy, not stand apart from it. If the strategy changes, the HR system should change too.

- Strategy first
- Structure and systems must fit the strategy
- Competencies should support the strategy
- Behaviour should reflect the strategy

Use when: the case asks for a strategic HR roadmap, scaling HR for growth, or aligning HR with expansion and diversification.

CCD model

CCD helps explain implementation. Consistency means HR practices reinforce each other. Consensus means key stakeholders accept the system and see it as fair. Distinctiveness means the system is visible, legitimate and understood.

- Consistency
- Consensus
- Distinctiveness

Use when: a policy looks good on paper but does not work in practice.

ASA framework

Attraction -> Selection -> Attrition. People are attracted to organizations whose values they like, organizations select people who fit, and people who do not fit often leave. This can create a strong culture, but if taken too far it can also reduce diversity, innovation and challenge.

- strong culture through fit
- risk of homogeneity
- possible groupthink
- useful for culture and retention questions

Use when: the case is about culture, fit, diversity, hiring, or why similar people keep joining and staying.

Dave Ulrich model

Strategic partner, administrative expert, employee champion and change agent. In the notes, this is used to think about who HR is and what HR should do in changing firms.

Dunlop industrial relations system

Actors: government, employers and labour. Context: technological, economic and sociopolitical factors. Shared ideology binds the system. Web of rules includes procedural and substantive rules. Use when the case is about union-management relations and labour conflict.

Framework	One-line cue	Best use
HR as a system	subsystems are linked	overall HR design, culture, alignment

AMO	Ability x Motivation x Opportunity	performance, retention, behaviour
SHRM	strategy -> systems -> competency -> behaviour	roadmap, growth, alignment
CCD	consistency, consensus, distinctiveness	implementation
ASA	attraction, selection, attrition	culture, fit, diversity
Ulrich	strategic partner and change agent	role of HR
Dunlop	actors, context, ideology, rules	industrial relations

3. Recruitment and selection

This section is especially useful for SG Cowen and the hiring-bias material.

Recruitment versus selection

- **Recruitment** = building the applicant pool.
- **Selection** = choosing the best candidate from the pool.
- Recruitment strategy is about whom to recruit, where to recruit, which sources to use, when to recruit and what message to communicate.

Recruitment objectives

- quality of applicants
- number of applicants
- speed of filling jobs
- cost of filling jobs
- diversity of applicants
- ratio of offers to acceptances
- retention rate

Job analysis -> JD -> JS

Job analysis identifies what the job requires. Job description describes the job: title, purpose, duties, reporting line, location, tasks and special conditions. Job specification describes the person: education, experience, skills, knowledge, behaviour, teamwork and customer orientation.

- JD = about the job
- JS = about the person
- good JD and JS reduce confusion in hiring

Selection decisions

- Who will select?
- What will be selected?
- How will it be selected?

Selection tools and good practice

- structured interviews are better than free-flowing interviews when fairness and comparison matter
- triangulation means using more than one method, not trusting one interview alone
- reference checks, work samples and psychometric tests can be useful but should not be used blindly
- opportunity to perform matters: the candidate should be given a fair chance to show the required ability

Type I and Type II errors

- **Type I error:** reject a good candidate.
- **Type II error:** hire a poor candidate.
- The cost of each error depends on the job and the context.

Common hiring biases

- halo effect
- similarity bias
- confirmation bias
- first impression bias
- overconfidence in one's own judgement

Recruitment strategy choices from the notes

- few entry points or many entry points
- internal hiring or external hiring
- campus recruitment, ads, references, agencies
- stable environment often supports few entry points and strong internal culture
- unstable environment often requires more external inflow and fresh ideas

Recent trends mentioned in the material

- gamification
- web scraping
- behavioural analytics
- AI for recruitment
- data analytics
- employer branding
- talent rediscovery

How to write a long recruitment answer

First diagnose whether the problem is poor sourcing, poor JD/JS, poor screening, interview bias, or poor selection criteria. Then explain how recruitment and selection should be redesigned. Finish with a comment on fit, diversity, and future performance.

4. SG Cowen: the hiring logic

The case is really about building the right kind of associate class for a boutique, high-touch investment bank. The firm uses team captains, core schools, informational interviews, first rounds, Super Saturday, and a culture-fit discussion to avoid hiring people who only look good on paper.

- the firm wants initiative, self-starting, fast learning and fit
- recruiting at a smaller set of schools can increase quality and attention
- informational interviews help both sides self-select
- team captains create a familiar contact point and transmit culture
- Super Saturday is a high-intensity final stage for consensus and judgment

What the bankers seem to value

- pattern of success, not just a prestigious background
- ability to learn fast
- entrepreneurial energy
- fit with the firm's style
- high touch, creativity and sparkle

Exam points from SG Cowen

- Do not rely only on school prestige or raw intellect.
- The process tries to reduce mismatch between candidate and culture.
- Not all bankers are equally tough; judgment can vary by interviewer.
- Writing comments down matters because the process is memory-heavy.

5 ways managers sabotage hiring

- **Fixing and rescuing:** choosing someone you think you can repair.
- **Validation seeking:** preferring candidates who flatter your view.
- **Boundary breaching:** calling a toxic culture a 'family' culture.
- **Micromanaging:** signalling low autonomy and then attracting the wrong kind of people.
- **Detachment:** appearing so hands-off that candidates think nobody cares.

How to counter blind spots

- do not decide alone
- use second opinions
- use structured criteria
- write comments during interviews
- compare multiple assessors and multiple methods

5. Performance management

The Rob Parson case is the central performance-management case in the material. It asks whether a star producer who brings business but weakens internal culture should be rewarded in the same way as someone who supports the firm's values.

Purpose of PMS

- reward and punishment
- identify gaps for development
- influence behaviour
- support legal and compliance needs
- promote desired culture

Ideal PMS questions

- What behaviour is valued?
- What is the objective: control or development?
- Who will appraise?
- How often will appraisal happen?
- What kind of data will be used?

Types of data

- **Trait data:** reliability, decisiveness, energy, loyalty. Useful but vulnerable to bias.
- **Behavioural data:** punctuality, meeting attendance, teamwork, helping behaviour.
- **Outcome data:** results, sales, revenue, targets, MBO-style metrics.

Types of judgment

- **Relative judgment:** rank employees against one another.
- **Absolute judgment:** evaluate against standards, not against peers.
- Relative judgment can create competition; absolute judgment can create inconsistency if raters differ too much.

Appraisers

- self
- immediate supervisor
- group of supervisors
- peers
- subordinates
- customers
- managers from other units

360-degree feedback

Useful for development, but not always ideal as the only basis for reward or promotion. In the notes, it is treated as a way to make the appraisal more complete, especially when the organization wants behavioural change.

Common rating problems

- halo error
- leniency
- severity
- central tendency
- recent-past bias

Feedback rules from the notes

- be descriptive rather than judgmental
- focus on behaviour, not the person's worth
- use data and specific examples
- make feedback timely and continuous
- invite the receiver to respond

Defence mechanisms of feedback receivers

- denial

- rationalization
- displacement
- quick acceptance
- withdrawal
- aggression
- pairing

How to use Rob Parson in the exam

Write the tension as performance versus culture, revenue versus behaviour, and short-term deal-making versus long-term franchise value. Then recommend a system that rewards business contribution while also reinforcing teamwork, respect and the One-Firm idea.

6. Compensation

The Xiamen Airlines case is the compensation case in the material. It is about pay design, safety, scarcity of talent, fairness between groups, and motivating extra effort without weakening discipline.

Components of compensation

- base salary
- pay incentives
- indirect compensation / benefits

Important design choices

- internal equity and external equity
- fixed pay and variable pay
- performance versus seniority
- job-based versus skill-based pay
- egalitarian versus high differentials
- below market versus above market positioning
- openness versus closedness of pay policy

Why pay policy matters

Compensation affects attraction, retention, motivation and the design of the culture. A cost leadership strategy may prefer moderate fixed pay and stronger performance linkage. A differentiation or quality strategy may prefer stronger fixed pay, careful incentives and more group-based rewards.

Equity and fairness

External equity matters when hiring from the market, but it can create internal inequity. Internal equity is easier when the firm develops people from within. Compensation design therefore has to balance market reality with employee perceptions of fairness.

Fixed versus variable pay

Variable pay can improve motivation, but not all employees respond to it the same way. The notes link this to culture: aggressive and ambitious people may prefer variable pay, while stable and security-oriented people may prefer more fixed compensation.

Job-based and skill-based pay

Job-based pay fits more stable jobs and clearer job hierarchies. Skill-based pay fits unstable or fast-changing environments where knowledge and capability matter more than the title itself. A skill-based system can create tension if younger employees with newer skills earn more than older employees.

Business strategy and compensation

- cost leadership -> moderate fixed pay + strong performance linkage
- quality / differentiation -> stronger fixed pay + more balanced incentives
- high growth stage -> stronger incentives may be useful
- declining stage -> pay structure may rely more on fixed pay

Job evaluation

The notes include job evaluation and the Hay Guide Chart. The idea is to compare jobs, not people. The major factors are know-how, problem solving and accountability. The process is used to create job hierarchies and pay ranges.

- know-how
- problem solving
- accountability

How to write Xiamen Airlines

The reform should be explained as an attempt to link pay to the effort pilots can control, to reduce free-riding, and to support safety and higher utilization. The new system gives stronger variable pay, rewards extra responsibilities, and uses operational data to make compensation more performance-sensitive.

Xiamen Airlines - exam points

- pilot shortage created recruitment pressure
- foreign versus local pay created fairness issues
- flight hours, safety and responsibilities became part of pay
- the firm had to balance attraction, fairness, safety and cost
- communication of the reform was important for acceptance

7. Talent management and growth

This is where Maersk and PremiumSoft fit. The core issue is how to build, buy, develop, deploy and retain talent while the business grows and becomes more complex.

Talent management at Maersk

- talent challenges were connected and affected the whole firm
- turnover rose as the labor market became more competitive
- training had been heavy and expensive because many employees stayed for life
- external hires increased and brought fresh skills, but also integration issues
- boomerang hires became a strategy when internal pipelines were not enough
- the company had to move toward inclusion as it globalized

Maersk's talent process

- attraction
- identification through People Strategy Sessions
- development
- deployment
- scenario planning

Useful Maersk ideas for the exam

- talent intimacy: know not only who is capable, but who is willing
- mission critical positions versus less impactful positions
- high performers, successful performers, less successful performers
- internal development plus external hiring
- the tension between a strong culture and a more diverse future

BoomerANG / rehire logic

Former employees can be valuable because they already know the organization, may need less training and often return with new experience. The notes and case show that rehire decisions should depend on whether they left on good terms, whether they were high performers, and whether they fit the current need.

PremiumSoft

PremiumSoft is useful for thinking about strategic HR in a fast-growing software company. The case asks for a roadmap that matches product growth and geographic expansion, so the answer should combine recruitment, capability development, career paths, and scalable HR systems.

Use this talent-management logic

- build from within when culture and continuity matter
- buy from outside when speed and new capability matter
- borrow when a temporary specialist is needed
- design career movement so employees do not feel trapped

8. Industrial relations

The union-management case in the material can be understood through the Dunlop system. The key is not only the dispute itself, but how rules, communication, participation and power shape the relation between management and labour.

Dunlop model

- actors: government, management, labour
- contexts: economic, technological, sociopolitical
- shared ideology binds the system
- web of rules: procedural and substantive

What the union case is showing

- worker participation matters
- communication gaps can turn small issues into bigger conflict
- formal channels help prevent escalation
- management cannot assume that good pay alone settles everything

Useful IR phrases

- two-way communication
- speedy de-escalation
- recognize deviances early
- use structured channels before conflict intensifies
- keep the system open to feedback

How to answer the IR case

Start with the system: who are the actors, what is the context, what rules exist, and what ideology holds the system together? Then explain why the issue grew, how communication or representation can be improved, and how management can avoid future escalation.

9. Case summary sheets

Morgan Stanley: Becoming a 'One-Firm Firm'

- Business issue: silos, weak cross-divisional collaboration, leadership shortage.
- HR issue: no formal career development, weak appraisal, too much emphasis on divisions.
- Good concepts: HR as a system, SHRM, CCD, Ulrich.
- Exam angle: explain how culture and systems must support the one-firm strategy.

Rob Parson at Morgan Stanley

- Business issue: star revenue producer versus internal culture and teamwork.
- HR issue: how to appraise, give feedback, and decide promotion.
- Good concepts: PMS, 360 feedback, relative vs absolute judgment, developmental feedback.
- Exam angle: balance business contribution and one-firm behaviour.

SG Cowen: New Recruits

- Business issue: how to build a class of associates for a boutique bank.
- HR issue: recruiting from core schools, judging fit, avoiding weak hires.
- Good concepts: recruitment strategy, selection, structured interview, fit, triangulation.
- Exam angle: explain why the process is designed to surface initiative and cultural fit.

5 Ways Managers Sabotage Hiring

- Business issue: a recruitment process can still fail because of the manager's blind spots.
- HR issue: rescuing candidates, validation seeking, boundary breaching, micromanaging, detachment.
- Good concepts: selection bias, second opinion, structure, triage of risk.
- Exam angle: show how to design out the blind spots.

Xiamen Airlines: Pay for Performance

- Business issue: pilot shortage, safety, productivity, fairness, and retention.
- HR issue: old compensation did not sufficiently reward extra hours, safety, coaching, and responsibility.
- Good concepts: compensation design, equity, expectancy, performance pay.
- Exam angle: justify the new system and its trade-offs.

Managers: We are katti with you

- Business issue: union-management conflict and the need for better participation.
- HR issue: communication, recognition, representation, and escalation.
- Good concepts: Dunlop model, IR system, communication routines.
- Exam angle: show why a small issue can become a system problem.

Maersk

- Business issue: rapid global growth with a more diverse workforce.
- HR issue: turnover, external hiring, training, rehires, inclusion, succession.
- Good concepts: talent management, SHRM, AMO, ASA.
- Exam angle: explain the build-buy-borrow logic and the People Strategy Sessions.

PremiumSoft

- Business issue: expansion, product growth, and the need to scale HR.
- HR issue: talent acquisition, development, retention and geographic spread.
- Good concepts: SHRM, AMO, recruitment, capability development.
- Exam angle: create a roadmap that supports growth and preserves execution quality.

10. Ready-made answer paragraphs

These can be adapted directly in long answers.

Viewed as an integrated system, HR practices are interconnected and should be aligned with business strategy. Recruitment, training, performance management, compensation and career development reinforce each other, so a weakness in one area tends to affect the others.

Using the AMO framework, the organization should improve employee ability, motivation and opportunity together. Hiring and training build ability, rewards and recognition build motivation, and job design, participation and feedback create opportunity.

From a strategic HR perspective, the key question is not whether a practice looks attractive in isolation, but whether it fits the business strategy, the structure of the organization and the behaviour the firm wants to reinforce.

The CCD logic is important because a system that looks good on paper can still fail if it is not consistent, not accepted by stakeholders, or not clearly understood by employees.

The ASA framework helps explain why organizations often develop a strong culture over time: they attract people who fit, select people who fit, and those who do not fit eventually leave. The same process can, however, reduce diversity if used too narrowly.

In recruitment, the firm should not rely on one interviewer's intuition. A stronger design uses structured interviews, multiple assessors and triangulation across resume, references, work samples and behavioural evidence.

A performance-management system should not only judge outcomes. It should also reinforce the behavioural pattern that the company needs, whether that is teamwork, initiative, safety, customer orientation or long-term leadership.

Compensation should be designed to attract talent, retain people and encourage the right behaviour. The balance between fixed and variable pay, and between internal and external equity, must reflect the company's strategy and culture.

In an industrial-relations issue, the main question is not only what happened in this dispute, but how the system of actors, rules and communication channels allowed the issue to develop and escalate.

11. Quick revision tables

Topic	Memory cue	Use in
Recruitment strategy	whom, where, when, what message	SG Cowen, PremiumSoft
Triangulation	use multiple methods	selection questions
Type I error	reject good candidate	hiring risk
Type II error	hire poor candidate	hiring risk
360 feedback	useful for development	Rob Parson
Pay for performance	reward control and fairness	Xiamen
Talent intimacy	know who can and who will	Maersk

Last-minute checklist

- If the case is about talent and growth, think SHRM + AMO.
- If it is about culture or fit, think ASA + HR as a system.
- If it is about implementation failure, think CCD.
- If it is about unions or conflict, think Dunlop and communication channels.
- If it is about one star employee versus the firm's culture, think PMS and 360 feedback.

12. Final reminder

Do not try to reproduce everything. Use the case facts, pick the right framework, and build a clear roadmap. In the long answers, the strongest marks usually come from showing how HR changes the business outcome.

Short version of the whole course

- HR is a system.
- People perform through ability, motivation and opportunity.
- Strategy and HR must fit each other.
- Good systems need consistency, consensus and distinctiveness.
- Fit matters, but too much fit can reduce diversity.
- Recruitment, appraisal, pay, training and industrial relations must support the business model.

This handbook is intentionally built in a note-like style, with small section titles and compact pages so it feels closer to printed handwritten notes than a textbook.

Human Resource Management-I

Prof. Promila Agarwal

Indian Institute of Management Ahmedabad

What is HRM?

- ▶ The process of planning, organizing, directing (motivating), and controlling the procurement, development, compensation, integration, maintenance, and separation of organizational human resources to the end that organizational, individual, and societal needs are satisfied.
 - ▶ HRM is the function performed in organizations that facilitates the most effective use of people to achieve organizational and individual goals- Ivancevich and Glueck
 - ▶ Human Resource Management is the planning, organising, directing and controlling of the procurement, development, compensation, integration, maintenance and separation of human resources to the end that individual, organisational, and social objectives are accomplished- Edwin B. Flippo
-

AMO Framework

Ability/skill

- Job description based on job analysis
- Recruitment
- Structured and validated tools for Selection
- Job based skill Training

Motivation

- Formal performance management/appraisal
- Compensation/Incentives/Rewards
- Bonus, profile sharing, gainsharing
- Performance based pay
- Promotion/career development
- Job security

Opportunity to perform/Empowerment

- Job design/Job enrichment
- Work teams/self directed work teams
- Suggestion systems (individual/group)
- Feedback from employees
- Information sharing

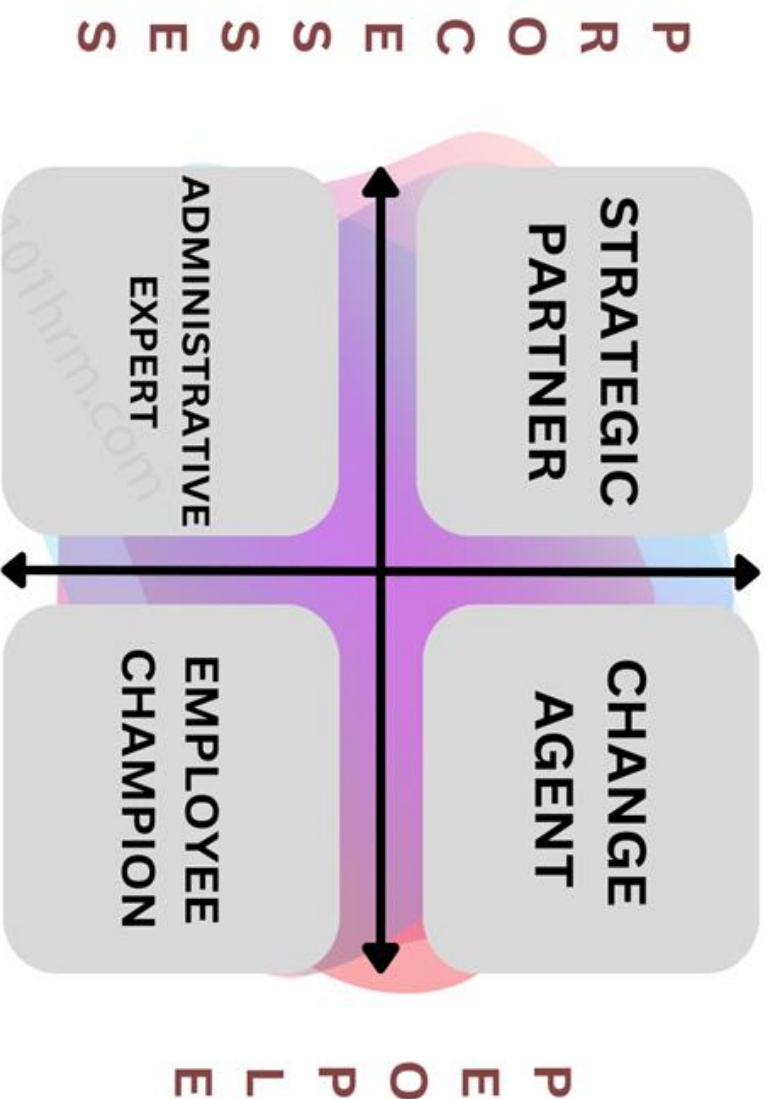
A larger view: Strategic HRM

- ▶ Best practices? (universal)
- ▶ Best fit? (contingent)
- ▶ Bundling? (holistic)

Who is HR?

Dave Ulrich Model of HRM Roles

FUTURE/STRATEGIC FOCUS



DAY-TO-DAY/OPERATIONAL FOCUS

Morgan Stanley

What does John Mack want?

External triggers and not internal

Collaboration - Cross Selling - More money

MS1 (shark) to MS2 (nemo)

- ▶ ***Subsystems are interconnected and aligned with each other***
 - ▶ ***Formal and informal are aligned***
 - ▶ ***CCD***
-

The Challenge of Implementation and the Role of A Strong HR System

- ▶ Implementation a function of the strength of the HR system:
 1. High consensus: agreement among key stakeholders; fairness of HR systems
 2. High distinctiveness: visible, legitimate, relevant and understandable
 3. High consistency: consistent, integrated HR policy and practice, instrumental for goal achievement
- ▶ Role of top management

SG Covens

Errors in different stages of hiring process

1. Type 1 and 2 errors
 2. JD not clear
 3. Resumes contain lies
 4. Psychometric- less specific and sensitive
 5. Recruitment and selection - confusion
-

SG Covens

Whom do you hire? N/M/K/A

In-class Simulation

1. ***We are all biased***
 - a. *Biases get strengthened when we hear opposing voices*
 - b. *We keep justifying*
2. Bases come down with diverse teams?
3. We are the best judges of people.
4. Who follows the structure?
5. I am the best...

Rob Parson

What is performance?

- Past/ Discrete?

Ideal PMS?

- Fair
- Objective
- Just

Problems with PMS

- Difficult to measure
 - Biased
 - Politics
-

Rob Parson

Are numbers objective?

Are they important?

Why PMS?

- Reward and punishment
 - Identify gaps for OD
 - Influence behavior
 - Legal and Compliance
-

Xiamen airlines- Pay for performance?

Context

Chinese airlines industry

Growth, competition, shortages of pilots

Expectancy theory

Equity theory

Xiamen airlines- Pay for performance?

- ▶ Change the compensation structure
- ▶ Is it a simple decision?
- ▶ MS2 to MS1
- ▶ ***HRM as systems of integrated subsystems***

Xiamen airlines- Pay for performance?

1. *Why to give*

Balancing Act

1. External and internal concerns
2. Foreigners and native chinese pay differences
3. Lateral entry and internal development
4. Increase hours and safety

Xiamen airlines- Pay for performance?

2. *How to measure how much?*
3. *What to give?*

Permutations and combinations- perks, titles, money

BUT the most important?

4. *Whom to give- What do they value*
 5. *How to proceed....What about the others?*
-

Managers- Katti

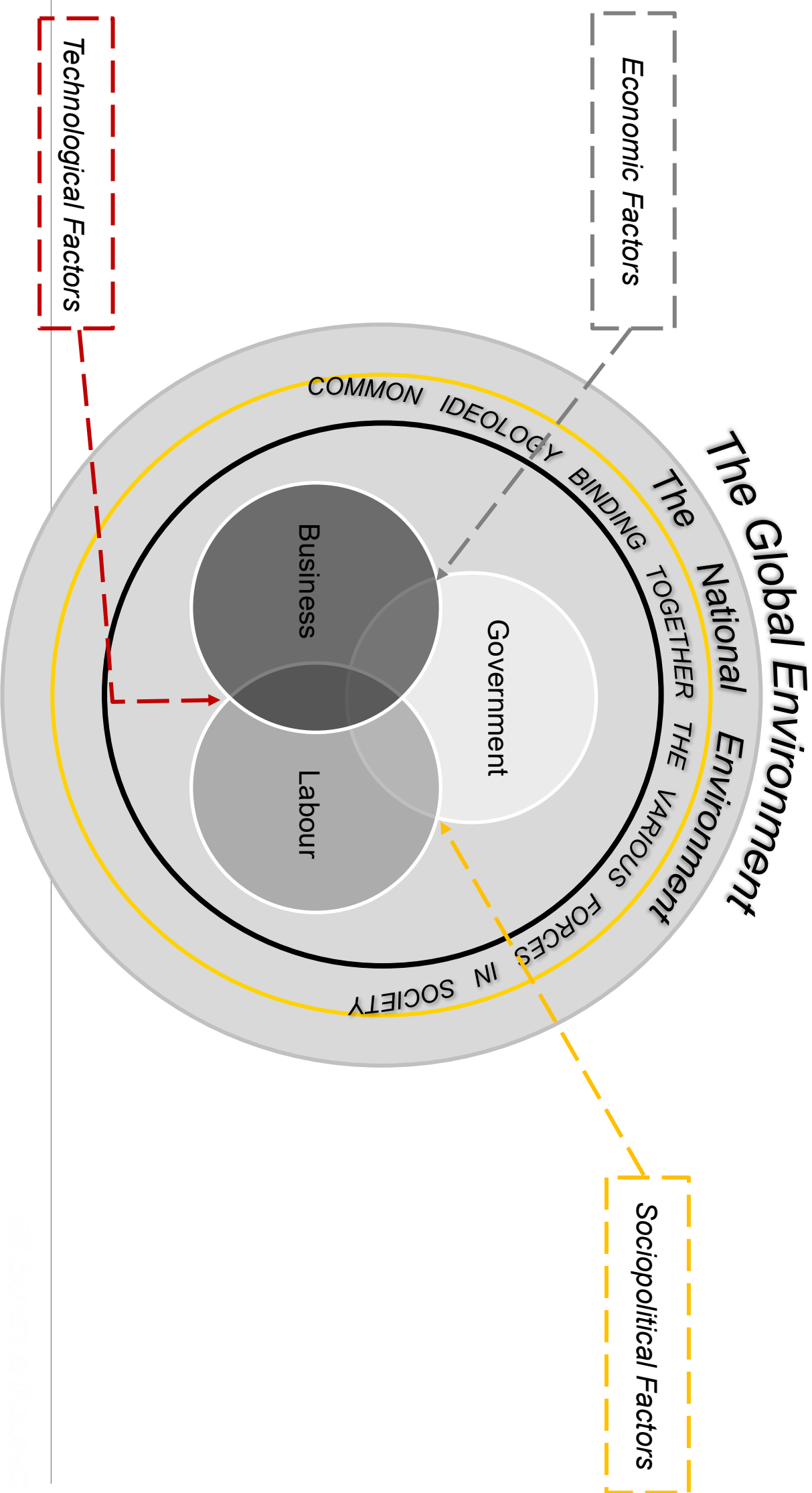
Understand the importance of bi-way communication

Recognize patterns

Sensitivity

- Routines followed
 - Recognize deviances
 - Correct deviances ASAP before the escalate
 - Ensure swift de-escalation
 - L/F windows of opportunities
-

The Industrial Relations System



Dunlop's Industrial Relations System Model

▶ Four key features:

▶ Actors

- ▶ specialized government agencies
- ▶ hierarchy of managers and their representatives
- ▶ hierarchy of workers

▶ Shared Ideology

- ▶ set of ideas and beliefs held by the actors
- ▶ helps to bind or integrate the system together

▶ Contexts

- ▶ environmental factors that influence actors
- ▶ market/budgetary constraints
- ▶ workplace and work community constraints
- ▶ distribution of power in the larger society

▶ Web of rules

- ▶ procedural
- ▶ substantive

Thank You

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- The real issue is not only policy design, but implementation and behavioural alignment.
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- formal and informal alignment
- business model support
- one change affects another

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Performance = Ability x Motivation x Opportunity. Ability is built through recruitment, selection, job design, and training. Motivation comes from pay, recognition, appraisal, promotion and job security. Opportunity comes from empowerment, teamwork, information sharing, feedback and participation.

- Ability: recruitment, selection, training
- Motivation: compensation, rewards, appraisal
- Opportunity: job design, empowerment, feedback

Use when: the question is about employee performance, retention, or why a practice does not translate into results.

SHRM framework

The notes present SHRM as Strategy -> Structure and systems -> Competency -> Behaviour. The key idea is that HR should support business strategy, not stand apart from it. If the strategy changes, the HR system should change too.

- Strategy first
- Structure and systems must fit the strategy
- Competencies should support the strategy
- Behaviour should reflect the strategy

Use when: the case asks for a strategic HR roadmap, scaling HR for growth, or aligning HR with expansion and diversification.

CCD model

CCD helps explain implementation. Consistency means HR practices reinforce each other. Consensus means key stakeholders accept the system and see it as fair. Distinctiveness means the system is visible, legitimate and understood.

- Consistency
- Consensus
- Distinctiveness

Use when: a policy looks good on paper but does not work in practice.

ASA framework

Attraction -> Selection -> Attrition. People are attracted to organizations whose values they like, organizations select people who fit, and people who do not fit often leave. This can create a strong culture, but if taken too far it can also reduce diversity, innovation and challenge.

- strong culture through fit
- risk of homogeneity
- possible groupthink
- useful for culture and retention questions

Use when: the case is about culture, fit, diversity, hiring, or why similar people keep joining and staying.

Dave Ulrich model

Strategic partner, administrative expert, employee champion and change agent. In the notes, this is used to think about who HR is and what HR should do in changing firms.

Dunlop industrial relations system

Actors: government, employers and labour. Context: technological, economic and sociopolitical factors. Shared ideology binds the system. Web of rules includes procedural and substantive rules. Use when the case is about union-management relations and labour conflict.

Framework	One-line cue	Best use
HR as a system	subsystems are linked	overall HR design, culture, alignment

AMO	Ability x Motivation x Opportunity	performance, retention, behaviour
SHRM	strategy -> systems -> competency -> behaviour	roadmap, growth, alignment
CCD	consistency, consensus, distinctiveness	implementation
ASA	attraction, selection, attrition	culture, fit, diversity
Ulrich	strategic partner and change agent	role of HR
Dunlop	actors, context, ideology, rules	industrial relations

3. Recruitment and selection

This section is especially useful for SG Cowen and the hiring-bias material.

Recruitment versus selection

- **Recruitment** = building the applicant pool.
- **Selection** = choosing the best candidate from the pool.
- Recruitment strategy is about whom to recruit, where to recruit, which sources to use, when to recruit and what message to communicate.

Recruitment objectives

- quality of applicants
- number of applicants
- speed of filling jobs
- cost of filling jobs
- diversity of applicants
- ratio of offers to acceptances
- retention rate

Job analysis -> JD -> JS

Job analysis identifies what the job requires. Job description describes the job: title, purpose, duties, reporting line, location, tasks and special conditions. Job specification describes the person: education, experience, skills, knowledge, behaviour, teamwork and customer orientation.

- JD = about the job
- JS = about the person
- good JD and JS reduce confusion in hiring

Selection decisions

- Who will select?
- What will be selected?
- How will it be selected?

Selection tools and good practice

- structured interviews are better than free-flowing interviews when fairness and comparison matter
- triangulation means using more than one method, not trusting one interview alone
- reference checks, work samples and psychometric tests can be useful but should not be used blindly
- opportunity to perform matters: the candidate should be given a fair chance to show the required ability

Type I and Type II errors

- **Type I error**: reject a good candidate.
- **Type II error**: hire a poor candidate.
- The cost of each error depends on the job and the context.

Common hiring biases

- halo effect
- similarity bias
- confirmation bias
- first impression bias
- overconfidence in one's own judgement

Recruitment strategy choices from the notes

- few entry points or many entry points
- internal hiring or external hiring
- campus recruitment, ads, references, agencies
- stable environment often supports few entry points and strong internal culture
- unstable environment often requires more external inflow and fresh ideas

Recent trends mentioned in the material

- gamification
- web scraping
- behavioural analytics
- AI for recruitment
- data analytics
- employer branding
- talent rediscovery

How to write a long recruitment answer

First diagnose whether the problem is poor sourcing, poor JD/JS, poor screening, interview bias, or poor selection criteria. Then explain how recruitment and selection should be redesigned. Finish with a comment on fit, diversity, and future performance.

4. SG Cowen: the hiring logic

The case is really about building the right kind of associate class for a boutique, high-touch investment bank. The firm uses team captains, core schools, informational interviews, first rounds, Super Saturday, and a culture-fit discussion to avoid hiring people who only look good on paper.

- the firm wants initiative, self-starting, fast learning and fit
- recruiting at a smaller set of schools can increase quality and attention
- informational interviews help both sides self-select
- team captains create a familiar contact point and transmit culture
- Super Saturday is a high-intensity final stage for consensus and judgment

What the bankers seem to value

- pattern of success, not just a prestigious background
- ability to learn fast
- entrepreneurial energy
- fit with the firm's style
- high touch, creativity and sparkle

Exam points from SG Cowen

- Do not rely only on school prestige or raw intellect.
- The process tries to reduce mismatch between candidate and culture.
- Not all bankers are equally tough; judgment can vary by interviewer.
- Writing comments down matters because the process is memory-heavy.

5 ways managers sabotage hiring

- **Fixing and rescuing:** choosing someone you think you can repair.
- **Validation seeking:** preferring candidates who flatter your view.
- **Boundary breaching:** calling a toxic culture a 'family' culture.
- **Micromanaging:** signalling low autonomy and then attracting the wrong kind of people.
- **Detachment:** appearing so hands-off that candidates think nobody cares.

How to counter blind spots

- do not decide alone
- use second opinions
- use structured criteria
- write comments during interviews
- compare multiple assessors and multiple methods

5. Performance management

The Rob Parson case is the central performance-management case in the material. It asks whether a star producer who brings business but weakens internal culture should be rewarded in the same way as someone who supports the firm's values.

Purpose of PMS

- reward and punishment
- identify gaps for development
- influence behaviour
- support legal and compliance needs
- promote desired culture

Ideal PMS questions

- What behaviour is valued?
- What is the objective: control or development?
- Who will appraise?
- How often will appraisal happen?
- What kind of data will be used?

Types of data

- **Trait data:** reliability, decisiveness, energy, loyalty. Useful but vulnerable to bias.
- **Behavioural data:** punctuality, meeting attendance, teamwork, helping behaviour.
- **Outcome data:** results, sales, revenue, targets, MBO-style metrics.

Types of judgment

- **Relative judgment:** rank employees against one another.
- **Absolute judgment:** evaluate against standards, not against peers.
- Relative judgment can create competition; absolute judgment can create inconsistency if raters differ too much.

Appraisers

- self
- immediate supervisor
- group of supervisors
- peers
- subordinates
- customers
- managers from other units

360-degree feedback

Useful for development, but not always ideal as the only basis for reward or promotion. In the notes, it is treated as a way to make the appraisal more complete, especially when the organization wants behavioural change.

Common rating problems

- halo error
- leniency
- severity
- central tendency
- recent-past bias

Feedback rules from the notes

- be descriptive rather than judgmental
- focus on behaviour, not the person's worth
- use data and specific examples
- make feedback timely and continuous
- invite the receiver to respond

Defence mechanisms of feedback receivers

- denial

- rationalization
- displacement
- quick acceptance
- withdrawal
- aggression
- pairing

How to use Rob Parson in the exam

Write the tension as performance versus culture, revenue versus behaviour, and short-term deal-making versus long-term franchise value. Then recommend a system that rewards business contribution while also reinforcing teamwork, respect and the One-Firm idea.

6. Compensation

The Xiamen Airlines case is the compensation case in the material. It is about pay design, safety, scarcity of talent, fairness between groups, and motivating extra effort without weakening discipline.

Components of compensation

- base salary
- pay incentives
- indirect compensation / benefits

Important design choices

- internal equity and external equity
- fixed pay and variable pay
- performance versus seniority
- job-based versus skill-based pay
- egalitarian versus high differentials
- below market versus above market positioning
- openness versus closedness of pay policy

Why pay policy matters

Compensation affects attraction, retention, motivation and the design of the culture. A cost leadership strategy may prefer moderate fixed pay and stronger performance linkage. A differentiation or quality strategy may prefer stronger fixed pay, careful incentives and more group-based rewards.

Equity and fairness

External equity matters when hiring from the market, but it can create internal inequity. Internal equity is easier when the firm develops people from within. Compensation design therefore has to balance market reality with employee perceptions of fairness.

Fixed versus variable pay

Variable pay can improve motivation, but not all employees respond to it the same way. The notes link this to culture: aggressive and ambitious people may prefer variable pay, while stable and security-oriented people may prefer more fixed compensation.

Job-based and skill-based pay

Job-based pay fits more stable jobs and clearer job hierarchies. Skill-based pay fits unstable or fast-changing environments where knowledge and capability matter more than the title itself. A skill-based system can create tension if younger employees with newer skills earn more than older employees.

Business strategy and compensation

- cost leadership -> moderate fixed pay + strong performance linkage
- quality / differentiation -> stronger fixed pay + more balanced incentives
- high growth stage -> stronger incentives may be useful
- declining stage -> pay structure may rely more on fixed pay

Job evaluation

The notes include job evaluation and the Hay Guide Chart. The idea is to compare jobs, not people. The major factors are know-how, problem solving and accountability. The process is used to create job hierarchies and pay ranges.

- know-how
- problem solving
- accountability

How to write Xiamen Airlines

The reform should be explained as an attempt to link pay to the effort pilots can control, to reduce free-riding, and to support safety and higher utilization. The new system gives stronger variable pay, rewards extra responsibilities, and uses operational data to make compensation more performance-sensitive.

Xiamen Airlines - exam points

- pilot shortage created recruitment pressure
- foreign versus local pay created fairness issues
- flight hours, safety and responsibilities became part of pay
- the firm had to balance attraction, fairness, safety and cost
- communication of the reform was important for acceptance

7. Talent management and growth

This is where Maersk and PremiumSoft fit. The core issue is how to build, buy, develop, deploy and retain talent while the business grows and becomes more complex.

Talent management at Maersk

- talent challenges were connected and affected the whole firm
- turnover rose as the labor market became more competitive
- training had been heavy and expensive because many employees stayed for life
- external hires increased and brought fresh skills, but also integration issues
- boomerang hires became a strategy when internal pipelines were not enough
- the company had to move toward inclusion as it globalized

Maersk's talent process

- attraction
- identification through People Strategy Sessions
- development
- deployment
- scenario planning

Useful Maersk ideas for the exam

- talent intimacy: know not only who is capable, but who is willing
- mission critical positions versus less impactful positions
- high performers, successful performers, less successful performers
- internal development plus external hiring
- the tension between a strong culture and a more diverse future

BoomerANG / rehire logic

Former employees can be valuable because they already know the organization, may need less training and often return with new experience. The notes and case show that rehire decisions should depend on whether they left on good terms, whether they were high performers, and whether they fit the current need.

PremiumSoft

PremiumSoft is useful for thinking about strategic HR in a fast-growing software company. The case asks for a roadmap that matches product growth and geographic expansion, so the answer should combine recruitment, capability development, career paths, and scalable HR systems.

Use this talent-management logic

- build from within when culture and continuity matter
- buy from outside when speed and new capability matter
- borrow when a temporary specialist is needed
- design career movement so employees do not feel trapped

8. Industrial relations

The union-management case in the material can be understood through the Dunlop system. The key is not only the dispute itself, but how rules, communication, participation and power shape the relation between management and labour.

Dunlop model

- actors: government, management, labour
- contexts: economic, technological, sociopolitical
- shared ideology binds the system
- web of rules: procedural and substantive

What the union case is showing

- worker participation matters
- communication gaps can turn small issues into bigger conflict
- formal channels help prevent escalation
- management cannot assume that good pay alone settles everything

Useful IR phrases

- two-way communication
- speedy de-escalation
- recognize deviances early
- use structured channels before conflict intensifies
- keep the system open to feedback

How to answer the IR case

Start with the system: who are the actors, what is the context, what rules exist, and what ideology holds the system together? Then explain why the issue grew, how communication or representation can be improved, and how management can avoid future escalation.

9. Case summary sheets

Morgan Stanley: Becoming a 'One-Firm Firm'

- Business issue: silos, weak cross-divisional collaboration, leadership shortage.
- HR issue: no formal career development, weak appraisal, too much emphasis on divisions.
- Good concepts: HR as a system, SHRM, CCD, Ulrich.
- Exam angle: explain how culture and systems must support the one-firm strategy.

Rob Parson at Morgan Stanley

- Business issue: star revenue producer versus internal culture and teamwork.
- HR issue: how to appraise, give feedback, and decide promotion.
- Good concepts: PMS, 360 feedback, relative vs absolute judgment, developmental feedback.
- Exam angle: balance business contribution and one-firm behaviour.

SG Cowen: New Recruits

- Business issue: how to build a class of associates for a boutique bank.
- HR issue: recruiting from core schools, judging fit, avoiding weak hires.
- Good concepts: recruitment strategy, selection, structured interview, fit, triangulation.
- Exam angle: explain why the process is designed to surface initiative and cultural fit.

5 Ways Managers Sabotage Hiring

- Business issue: a recruitment process can still fail because of the manager's blind spots.
- HR issue: rescuing candidates, validation seeking, boundary breaching, micromanaging, detachment.
- Good concepts: selection bias, second opinion, structure, triage of risk.
- Exam angle: show how to design out the blind spots.

Xiamen Airlines: Pay for Performance

- Business issue: pilot shortage, safety, productivity, fairness, and retention.
- HR issue: old compensation did not sufficiently reward extra hours, safety, coaching, and responsibility.
- Good concepts: compensation design, equity, expectancy, performance pay.
- Exam angle: justify the new system and its trade-offs.

Managers: We are katti with you

- Business issue: union-management conflict and the need for better participation.
- HR issue: communication, recognition, representation, and escalation.
- Good concepts: Dunlop model, IR system, communication routines.
- Exam angle: show why a small issue can become a system problem.

Maersk

- Business issue: rapid global growth with a more diverse workforce.
- HR issue: turnover, external hiring, training, rehires, inclusion, succession.
- Good concepts: talent management, SHRM, AMO, ASA.
- Exam angle: explain the build-buy-borrow logic and the People Strategy Sessions.

PremiumSoft

- Business issue: expansion, product growth, and the need to scale HR.
- HR issue: talent acquisition, development, retention and geographic spread.
- Good concepts: SHRM, AMO, recruitment, capability development.
- Exam angle: create a roadmap that supports growth and preserves execution quality.

10. Ready-made answer paragraphs

These can be adapted directly in long answers.

Viewed as an integrated system, HR practices are interconnected and should be aligned with business strategy. Recruitment, training, performance management, compensation and career development reinforce each other, so a weakness in one area tends to affect the others.

Using the AMO framework, the organization should improve employee ability, motivation and opportunity together. Hiring and training build ability, rewards and recognition build motivation, and job design, participation and feedback create opportunity.

From a strategic HR perspective, the key question is not whether a practice looks attractive in isolation, but whether it fits the business strategy, the structure of the organization and the behaviour the firm wants to reinforce.

The CCD logic is important because a system that looks good on paper can still fail if it is not consistent, not accepted by stakeholders, or not clearly understood by employees.

The ASA framework helps explain why organizations often develop a strong culture over time: they attract people who fit, select people who fit, and those who do not fit eventually leave. The same process can, however, reduce diversity if used too narrowly.

In recruitment, the firm should not rely on one interviewer's intuition. A stronger design uses structured interviews, multiple assessors and triangulation across resume, references, work samples and behavioural evidence.

A performance-management system should not only judge outcomes. It should also reinforce the behavioural pattern that the company needs, whether that is teamwork, initiative, safety, customer orientation or long-term leadership.

Compensation should be designed to attract talent, retain people and encourage the right behaviour. The balance between fixed and variable pay, and between internal and external equity, must reflect the company's strategy and culture.

In an industrial-relations issue, the main question is not only what happened in this dispute, but how the system of actors, rules and communication channels allowed the issue to develop and escalate.

11. Quick revision tables

Topic	Memory cue	Use in
Recruitment strategy	whom, where, when, what message	SG Cowen, PremiumSoft
Triangulation	use multiple methods	selection questions
Type I error	reject good candidate	hiring risk
Type II error	hire poor candidate	hiring risk
360 feedback	useful for development	Rob Parson
Pay for performance	reward control and fairness	Xiamen
Talent intimacy	know who can and who will	Maersk

Last-minute checklist

- If the case is about talent and growth, think SHRM + AMO.
- If it is about culture or fit, think ASA + HR as a system.
- If it is about implementation failure, think CCD.
- If it is about unions or conflict, think Dunlop and communication channels.
- If it is about one star employee versus the firm's culture, think PMS and 360 feedback.

12. Final reminder

Do not try to reproduce everything. Use the case facts, pick the right framework, and build a clear roadmap. In the long answers, the strongest marks usually come from showing how HR changes the business outcome.

Short version of the whole course

- HR is a system.
- People perform through ability, motivation and opportunity.
- Strategy and HR must fit each other.
- Good systems need consistency, consensus and distinctiveness.
- Fit matters, but too much fit can reduce diversity.
- Recruitment, appraisal, pay, training and industrial relations must support the business model.

This handbook is intentionally built in a note-like style, with small section titles and compact pages so it feels closer to printed handwritten notes than a textbook.